

BUSINESS SERVICITIZATION LIVE CYCLE - PRO AND CONS – RATIONAL ARGUMENTS

Machine Purchase Investment		Installation & Commissioning		Standard Operation		Maintenance And Repair		Breakdown Management		Decommissioning End of Live Treatment	
Consider what the pros and cons of owning a machine including investment, budgets, CAPEX/OPEX versus use only are.		Consider how the installation and commissioning process is influenced when buying versus using a machine you don't own		Consider how your workforce and standard operation processes are influenced by the fact that your company or the manufacturer is owning the asset.		Consider how the maintenance process is influenced by the ownership of the asset and how your maintenance planning and operation will be done.		Consider there is a serious breakdown how will flexibility and agility be influence by you or an external company managing the breakdown and getting the machine up and running again.		Consider your company wants to get rid of their old machine what costs, responsibilities and efforts will be involved for decommissioning the old machine	
Service OPEX (Pro/Contra)	Pro Argument	Service OPEX (Pro/Contra)	Pro Argument	Service OPEX (Pro/Contra)	Pro Argument	Service OPEX (Pro/Contra)	Pro Argument	Service OPEX (Pro/Contra)	Pro Argument	Service OPEX (Pro/Contra)	Pro Argument
Contra Argument	More time to focus on production	Contra Argument	Best practices in installing guidelines	Contra Argument	More operational capacity	Contra Argument	Predictable maintenance	Contra Argument	SLA	Contra Argument	Free decommission
Pro Argument	Ability to adapt to production	Pro Argument	Less trust issues	Pro Argument	Loss of skills	Pro Argument	Vendor dependent	Pro Argument	Loss per hour	Pro Argument	Loss of time
Contra Argument	No upfront investment	Contra Argument	Turn key solution	Contra Argument	Predictable cost	Contra Argument	Increased in-house maintenance costs	Contra Argument	Shared risks	Contra Argument	No scrapping costs
Contra Argument	Higher TCO	Contra Argument	More control	Contra Argument	On-site reduce	Contra Argument	Less flexible maintenance schedule	Contra Argument	You get what you pay for	Contra Argument	Cannot use EQ for longer
Pro Argument	Continuous service revenue	Pro Argument	Highly need to coordination responsibility	Pro Argument	Increased complexity	Pro Argument	Optimize maintenance	Pro Argument	Should not happen	Pro Argument	Residual value is ours
Contra Argument	Initial investment	Contra Argument		Contra Argument		Contra Argument	Complexity	Contra Argument	Financial risk	Contra Argument	\$

Customer of IPCO

IPCO

Shopfloor Operations

Business Operations (€)

Service Provider Customer Manager